

We weren't.

At the time, Zell was supporting Mitt Romney, the Republican presidential nominee, and the election was one month away. Perhaps a bit of political bias was subconsciously at work.

Five years before that, in September 2008—weeks after Lehman Brothers and AIG collapsed—Zell warned that the US economy could “slip into recession next year.”⁹ That forecast was wrong the moment he uttered it. The US was *already* in the worst recession since the Great Depression, and it had begun nearly a year earlier, in December 2007.

The year prior, in 2007, Zell was at the University of Pennsylvania's Wharton School when he said: "We're not really in a quote 'credit crunch.' I think what we are in is a '*confidence crunch*.'"¹⁰

We were in the biggest credit crunch in decades, and it was getting a whole lot worse. Contradicting what he would claim a year later (2008), Zell added, “Despite the fact that we are in the middle of a recession, the real estate industry balance sheet has never looked better.”

Wrong again. Residential real estate was in the early days of a 32% crash—and the banks, homes builders, and Real Estate Investment Trusts (REITs) were all about to have huge problems with their balance sheets.

Zell made his billions patiently purchasing distressed assets at fire sale prices. He assembled a portfolio of real estate properties then held on to them for decades, some for as long as a half-century! He was a brilliant real estate investor—but he did not make one red cent forecasting recessions.

The issue with Zell wasn't that he was wrong—we all are wrong, most of us quite often. The problem is his real estate acumen and financial savvy led people to inappropriately overweight his economic pronouncements.

We pay too much attention to billionaires and other successful businesspeople offering up opinions, despite how little they know about